Sector Underwriting Note: Textiles

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL
SECTION 14: SECTOR-SPECIFIC UNDERWRITING STANDARDS — TEXTILES SME
DOCUMENT REF: CP-SEC-TXT-09
EFFECTIVE DATE: 1 JANUARY 2025

14.1 GENERAL APPLICABILITY AND SECTOR LIMITS 1.1. This policy supplements the general commercial lending guidelines set out in Section 2 and is binding on all underwriters and credit committee members evaluating Small and Medium Enterprise (SME) borrowers operating in the textiles manufacturing, weaving, spinning, and garment-processing sectors. 1.2. Aggregate exposure to the textiles sector shall not exceed 15.0 percent of Ashva Capital’s total active loan book. As of the effective date of this policy, current sector exposure stands at 13.2 percent. Underwriters must verify available sector headroom via the credit management system prior to issuing any conditional approval letter.

14.2 WORKING CAPITAL CYCLE AND CASH FLOW DYNAMICS 2.1. The typical working capital conversion cycle for a standard textiles SME is assessed at 90 days, measured from raw material procurement (cotton, synthetic yarn, dyes) through processing, inventory holding, and collection of accounts receivable from institutional buyers or wholesalers. 2.2. Any applicant exhibiting a cash conversion cycle exceeding 120 days shall be subjected to a mandatory tier-2 audit of aged inventory and debtor aging schedules. Debtors exceeding 90 days past invoice date must be excluded from the borrowing base calculation.

14.3 DEBT SERVICE COVERAGE RATIO (DSCR) FLOOR 3.1. Notwithstanding the general Ashva Capital baseline DSCR floor of 1.25x, all textiles sector SME credit applications must maintain a minimum projected and historical DSCR floor of 1.30x. 3.2. The DSCR calculation must incorporate stressed revenue assumptions, applying a minimum haircut of 10 percent on projected EBITDA during the peak working capital accumulation phase.

14.4 SEASONALITY ADJUSTMENTS AND PEAK PERIODS 4.1. The textiles sector experiences pronounced seasonal cash flow variations driven by festival preparation and retail inventory cycles. The designated seasonal peak period runs annually from August to October. 4.2. During the seasonal peak window, underwriters may approve a temporary, revolving working capital line increase of up to 20.0 percent above the baseline limit, provided the borrower demonstrates a minimum unencumbered cash buffer equal to 1.5 months of debt service held in a designated Ashva Capital collection account. 4.3. Repayment schedules for seasonal facilities must be structured to ensure full amortization of the seasonal tranche by 31 January of the following calendar

year.

14.5 PRIMARY CAUSES OF SECTOR DISTRESS 5.1. Underwriters must explicitly evaluate and document mitigants against the two most prevalent causes of distress in the textiles SME sector: * *(a) Raw Material Price Volatility:* Unhedged exposure to sudden price spikes in raw cotton or petrochemical-based synthetic fibers, which compress gross margins before selling prices can be adjusted. * *(b) Buyer Concentration Risk:* Over-reliance on a single domestic or export tier-1 apparel retailer whose delayed payments or order cancellations immediately disrupt the borrower's liquidity.

14.6 ACCEPTABLE COLLATERAL TYPES AND MARGINS 6.1. Credit facilities extended under this sector policy must be secured by a combination of the following eligible collateral types, valued in accordance with Ashva Capital Valuation Standard VS-04: * *(a) First-ranking hypothecation over plant and machinery* (looms, spinning frames, dyeing units), subject to a maximum useful life assessment of 10 years and a minimum margin of 35.0 percent. * *(b) First-ranking charge over current assets* (raw material, work-in-progress, finished goods, and book debts), subject to a minimum margin of 25.0 percent. * *(c) Collateral residential or commercial real estate mortgage*, subject to a minimum margin of 40.0 percent on forced sale value (FSV). 6.2. Unsecured sub-limits are strictly prohibited for textiles sector SMEs regardless of credit score band.

14.7 TENOR AND FACILITY STRUCTURE LIMITS 7.1. The maximum allowable tenor for term debt facilities issued under this sector policy is 60 months, inclusive of any initial moratorium period. 7.2. Moratorium on principal repayment shall not exceed 6 months from the date of initial disbursement and is restricted exclusively to term loans funding the acquisition of heavy plant and machinery.

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